

Products that have a low price elasticity of demand do not see consumers moving away in response to increases in prices. These products have relatively higher pricing power. Also, the price elasticity of supply must be understood.

Factors That Affect Price Elasticity of Supply

Ability to store output

Goods that can be safely stored have a relatively elastic supply over perishable goods that cannot be stored for long.



Consumer durables can be stored and have an elastic supply.



Fruits and vegetables cannot be stored for long so inelastic supply.

Factor mobility

If the factors of production can be moved easily from one use to another and are not industry-specific, they will affect the elasticity of supply.

The higher the mobility of the factors, the more elastic the supply.

